Transcript in English

The Process Consultant. How IT and Business Process Fit Together

[Visual information: The video combines hand-drawn illustrations, diagrams and text to help to clarify and emphasize the concepts in the voiceover. The illustrations are drawn over a white board as the voiceover mentions each new idea so that the visual is in sync with the audio.]

Ian James:
Sometimes it's hard to see how IT and business process fit together. So here's a simple way to think about it. Let's start with process.

Business process happens in the real world. Let's say we have a hiring process. We advertise a job, we interview candidates, and we make a decision. And a new guy turns up at work.

Or let's say, we have an accounts payable process. We get an invoice from a vendor, we make sure it's valid, then somebody approves it, and then we cut a check and send it to the vendor.

Every day in a typical business there are thousands of transactions like these that follow some process or another. In fact, there are so many we could not possibly keep track of all this information without help.

Once we did this all by paper, armies of people were required to write it all down. Now we use computers and call it "information technology" (IT).

But whatever the tools are, we're doing the same thing. We're making detailed notes of all the things that happen in the real world. So, for example, when we hire someone, we have to keep track of the details. We give them an employee ID, we add them to the payroll with a social security number, we set a salary in the payroll system, we update the head count.

When you look at it, you'll find a surprising amount of data that's generated by everyday transactions like these. In a sense, we're creating a mathematical model of where we are with all our transactions. The data are the building blocks of the model, and it's constantly changing.

By reducing the details and numbers, we can manage the vast amounts of data that get generated by our transactions. We can capture it and store it using databases and software programmes.

Now you never get to see an actual database. What we do see is the software that displays the data. The software allows us to capture it, retrieve it, change it, run reports, and otherwise manipulate it.

So, the role of software is to support the process by providing the means to create and maintain the mathematical model. But software does not exist on its own. For that, we need the other component of IT: the hardware. It takes PCs and servers and keyboards and networks, and all the other paraphernalia that the guys with the pocket protectors love.

[Visual information: A diagram shows the relationship between business process and technology. The bottom of the model is the hardware, represented by computers and other peripherals. Above this is the software, represented by icons of digital documents and applications. On top of the model are “processes”, represented by a flux diagram that describes the different steps.]

Now it’s a bit easier to see how all this fits together: the hardware supports the software that supports the processes. This three layer model is pretty simple, but it’s a good way to think about what’s going on. When you realise that IT is merely supporting business processes, then you could start to see that fixing your processes is every bit as important as improving hardware and software.

It’s amazing how many smart business people are ready to spend money on improving efficiency with IT projects without getting their processes right first. I hope this model helps you avoid that mistake.

There are lots of ways to improve processes. You can find out more by watching other videos in this series. You can get them on my website: theprocessconsultant.com. Thanks for watching. I’m Ian James, The Process Consultant.